Cornell Consulting Club Example Interview Case 1 (Interviewer Led)

Case written by Charlie Liao

This case scenario is fictional and not based on any of CCC's client engagements

<u>Case Overview and Context:</u>

GoalCycle, SoulCycle's biggest competitor in New York City, has hired the Cornell Consulting Club to figure out why their profitability has been declining over the last few years. The CEO, Kristin Francis, is stressed out about the financial situation and needs to see some results by the next fiscal year. As a CCC Business Analyst, you must identify the cause of the profitability issue and suggest strategies to improve profitability moving forward.

Creativity Assessment

1. Tell us, at a high-level, how you would initially approach and think about this business problem. For reference, GoalCycle has three revenue streams: it has (1) spin classes, (2) branded athletic products (think clothing, water bottles, etc.), and (3) proprietary stationary bikes. Feel free to ask questions for clarification.

   Information given upon request:
   - Labor is paid to instructors on a salary basis
   - Equipment is depreciated on a MACRS basis

   Example Response
   - Examine the profitability equation
     - Profit = Revenue – Cost
     - Revenue
       - Can be broken down into revenue/unit and # of units sold
       - $/unit: pricing structure (across all three revenue streams), pricing of competitors, pricing of substitute products (i.e. gyms, bikes, etc.), price sensitivity/elasticity, price trends
       - # of units: sales volume (across all three revenue streams), distribution channels (geographic locations), macroeconomic considerations, market demand, sales volume trends
     - Cost
       - Can be broken down into fixed costs and variable costs
       - Fixed costs: labor (salaries), utilities, rent, taxes, and depreciation of stationary bikes
       - Variable costs: raw materials (used in bikes, clothes, etc.), shipping costs

            - Additionally, examining cost trends may help

2. The client did some internal analysis and found that costs were stable – it seems that there is a revenue problem at hand. Referring back to GoalCycle's revenue streams, what do you think are the drivers behind revenues?

   Example Response
   - There are three streams, so it would make sense to talk about each of them and break down their revenues
   - Spin class levers
     - Number of class participants
       - Class participants per class
       - Classes per year
     - Price structure of classes (i.e. first timers, season passes, infrequent tickets)
   - Branded athletic product levers
     - Overall athletic product demand
     - Types of products – individual demand
     - Availability of competitor products
     - Correlation between class attendance and product purchase
     - Availability of deals or discounts
     - How many spin class customers make auxiliary purchases?
   - Proprietary bikes
     - Demand for home stationary bikes
     - Distance of customer bases to store locations
     - Availability of bikes per store
     - Rate of alternative sports participation
   - Overall consideration: the three streams overlap and influence one another from a sales perspective

3. Our team looked into the client data and discovered that while GoalCycle initially had industry-winning sales and class participation, class participation has declined ever since. However, consumer surveys indicated that former customers were not heading to GoalCycle's competitors. List out a few reasons as to why this might be happening.

   Example Response
   - Overall declining market interest
   - Overly intense instructors scaring away customers
   - Home stationary bikes substituting for classes
   - Locations are inconvenient, prompting initial visits but no prolonged engagement

4. GoalCycle wants to attract more customers to spin classes – please brainstorm a few ideas to assist them with this goal.

   Example Response
   - Bundled class packages
   - Cross-promotion or cross-selling
   - First time discounts
   - Friend referral programs
   - Loyalty programs
   - Partnerships with local restaurants

5. The CEO wants a brief update before you continue working on the project. Take a few moments to summarize what you've learned and concluded so far and present it to the CEO.

Quantitative and Graphical Assessment

1. It turns out that the primary issue is with stationary bikes – more customers are purchasing bikes and using them at home instead of coming to classes. GoalCycle is considering eliminating its spin classes altogether. Now, the client wants to figure out the size of the stationary bike market in a year. Please estimate the number of stationary bikes sold in a year. Then, estimate how many of those sales would go to GoalCycle.

   Potential Variables to Consider
   - Income levels
   - Competitor effects
   - Multiple product lines
   - Replacement cycles for the product
   - Marketing effectiveness of the product
   - Geographic outreach
   - Geographic population distribution

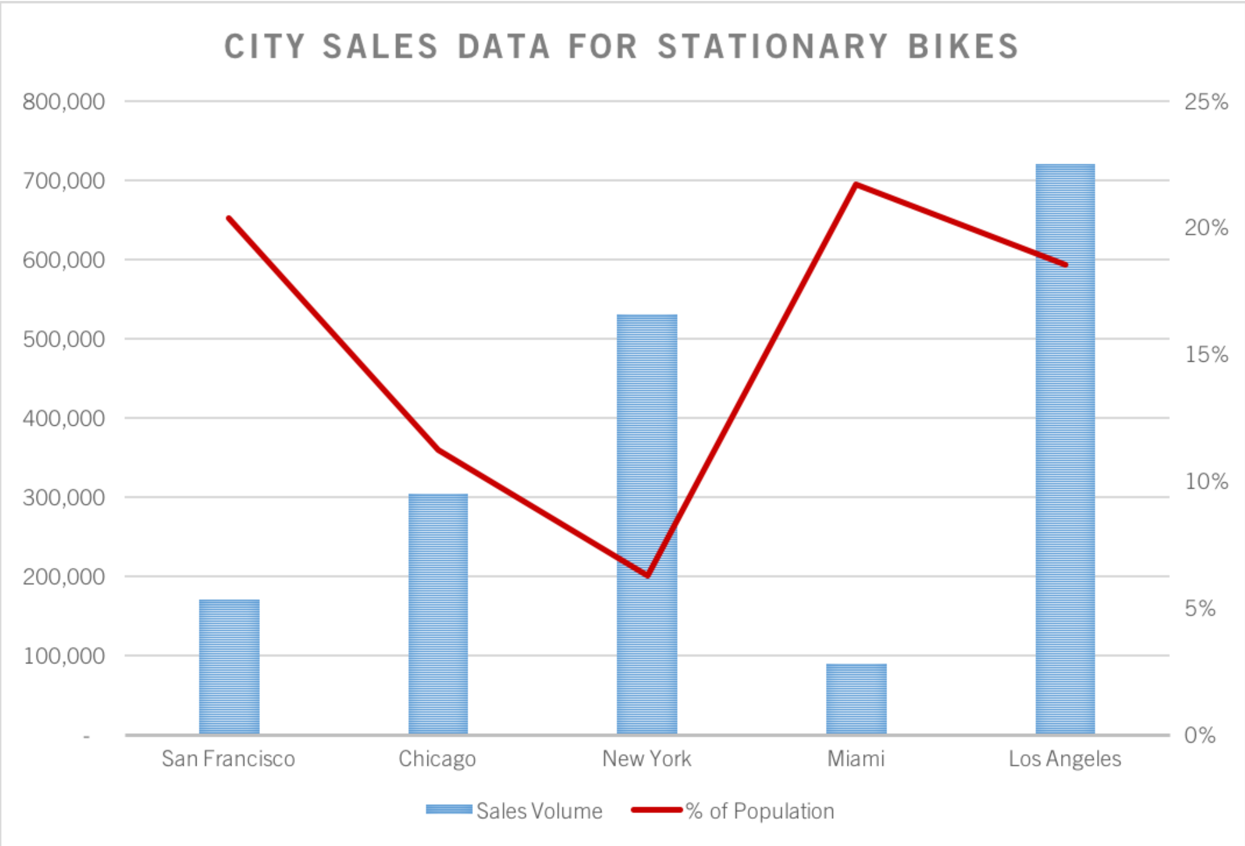
   Example Assumptions to Make:
   - Population of the U.S. (~320 million)
   - Average replacement cycle of a stationary bike (~5 years)
   - One type of stationary bike
   - One competitor with an equivalent product (50/50 sales split)
   - Middle class and upper class will purchase these bikes (heavier lean towards upper class – perhaps 50% more than those in the middle class)

2. Do you think your estimate is accurate? Why? Secondly, how could you have done better?

Example Improvements:

- Check for assumption biases
- More accurate math calculations

3. Examine the graph below regarding stationary bike sales. What conclusions can you draw from the data provided?



Example Conclusions:

- New York and Los Angeles have the highest volume sales
- Miami has the lowest in volume, but highest in percentage of population purchasing stationary bikes
- San Francisco and Los Angeles also have high percentage populations purchasing stationary bikes
- Los Angeles may be a great target to focus on in the future; it has high volume and high percentage
- New York has high growth potential – could be great to invest in

Cornell Consulting Club Example Interview Case 2 (Interviewer Led)

Case written by Charlie Liao

This case scenario is fictional and not based on any of CCC's client engagements

<u>Case Overview and Context:</u>

Chessy Chestnut Company is a firm located in New York City that exclusively sells prepackaged ready-to-eat sugary chestnuts. Located in the heart of Chinatown, this packaging company has been facing serious revenue declines in the last five years. The eccentric CEO, Chez Nut, has hired CCC to diagnose the company and solve the problem. You must identify the source of the revenue issue and devise strategies to move forward.

Creativity Assessment

1. Tell us, at a high-level, how you would initially determine the cause of the revenue issue. For reference, Chessy Chestnut Company only has one revenue stream (ready-to-eat chestnut packages).

   Information given upon request:
   - The client only sells locally to New York City
   - There are several other chestnut companies within a 15-mile radius
   - The client adds sugar to its chestnuts for flavor
   - The chestnut packages contain exactly 35 chestnuts and are sealed in a vacuum-sealed plastic bag
   - The customer base is varied

   Example Response
     - Industry
       - How is the overall industry doing?
         - Are there negative revenue trends in the data?
       - What does the future of the industry look like?
       - Is the economy factoring into overall industry revenues?
         - What does spending look like? GDP growth? Employment?
     - Product
       - What do sales look like for the product?
       - How is the product produced?
       - Has the company considered expanding the product line?
     - Customer
       - Who are the customers?
       - What is customer demand like?
       - How is the customer behavior?

- Competition
  - Who are the other chestnut companies?
  - What do these competitors sell?
  - What are some best practices they use?
  - How is market share distributed?
- Company
  - How is the company structured?
  - Is there an atypical sales process?
  - Does the company have financing for strategic actions?

2. Which area would you look into first? Why?

   Any area is a valid area (as long as the candidate can rationally justify the reasoning for choosing said area). However, choosing certain areas show more business intuition than other areas: Product and Competition would be the best choices to answer this question.

   Example Response:
   - Competition
     - There seem to be many other competitors in the area
     - Chestnuts are fundamentally the same, so differentiation may be difficult. This makes the competitors a particularly powerful force to be reckoned with

3. Our team found that competitors have been relatively successful by selling other chestnut products to customers. Because of this, the client has lost a significant portion of the chestnut market share. We have been asked to brainstorm some alternative chestnut products.

   Example Response
   - Tiered quantity packaging (small chestnut packages to massive bulk packages)
   - Unshelled raw chestnuts (more customer options)
   - Chestnut puree
   - Bacon wrapped chestnuts
   - Chestnut spread
   - Chestnut pastries

4. Of the various products you brainstormed, please rank them from most feasible to least feasible. Explain your reasoning for each position you designate.

   As long as there is a logical explanation for each rank, any answer is acceptable. There are obviously more logical orderings than others, but because of the general lack of information regarding Chessy Chestnut Company's chestnut production process and other core competencies, any answer can technically be right.

Example Response

- (#1) Tiered quantity packaging
  - This is a simple strategy, as it doesn't require any additional research or development. The client only needs to create different sized packages to accommodate for different quantities per package
- (#2) Unshelled raw chestnuts
  - This may be even simpler than the first strategy. However, the product appeal is questionable. Selling unshelled raw chestnuts eliminates much of processing – this could reduce costs and target niche customer segments

5. After purchasing a chestnut package, you bump into CEO Chez Nut outside the store. He wants a quick update about your findings.

   Note: there is a contextual clue here – the meeting with the CEO is brief. Do not take much time to summarize. Rather, start speaking and make it quick but structured.

Quantitative and Graphical Assessment

1. CEO Chez Nut has decided to follow a few competitors and sell a premium chestnut puree. He thinks that the puree will appeal to higher income customers and upscale restaurants in the New York area. There are three other companies that sell chestnut puree to the same cohort of customers. To help facilitate a successful product launch, estimate the captured target market and determine the yearly breakeven price.

   Information to be given upon request: variable costs ($1 per puree can, $3 for ingredients per puree can, $0.50 for ingredient processing per puree can), fixed costs ($75,000 in additional labor costs per year, $36,000 for additional facilities costs per year, and $4000 for equipment repair costs per year)

   Potential Variables to Consider

   - Income distribution (for both regular consumers and restaurants)
   - Competitor effects
   - Competitive response
   - Product cannibalization
   - Purchase frequency
   - Purchase volume
   - Seasonality

   Example Assumptions to Make:

   - Population of New York City (~8 million)

- % of high income households in New York City (~20-30%)
- Restaurants in New York City (20,000-30,000)
- % of upscale restaurants in New York City (~10%)
- Chessy Chestnut Company's estimated market share (~15-25%)
- Consumer purchase frequency (~2x per month)
- Restaurant purchase frequency (~1-5x per day)

Calculation Walkthrough

- Profit = Revenue – Cost
- Profit = $0 (breakeven)
- x = quantity sold
- p = breakeven price
- $0 = xp – (Fixed Costs + Variable Costs)
- $0 = xp – ($115,000 + 4.5x$)
- Solve for p

2. Do you think your estimate is accurate? Why? Secondly, how could you have done better?

Example Improvements:

- Check for assumption biases
- More accurate math calculations

3. Examine the chestnut puree unit pricing table below. Based on the breakeven price you calculated earlier, should Chessy Chestnut Company follow through with the puree launch? Additionally, assuming that market shares are even between firms, what could the difference in price indicate?

Company Name	Chestnut Puree Price (per unit)
Nutty Nuts Company	$6
Perfect Purees	$10
Chocolate Chestnuts Inc.	$8.50

The follow through decision depends on calculations and rationalization. Even if the company's breakeven pricing puts the client in a precarious position, proper analysis might reveal ways to cut costs or boost market share.

Example Responses

- Differences in quality
- Brand perception
- Cost differences
- Auxiliary services

Cornell Consulting Club Example Interview Case 3 (Interviewee Led)

Case written by Erica DeMond

This case scenario is fictional and not based on any of CCC's client engagements.

Case Overview and Context:

Our client is Luxury Auto, a multi-billion-dollar European luxury car manufacturer located in Germany. The company's main market has been Germany in the past, but the client has seen declining profitability over the last 2 years. Luxury Auto has plenty of investable capital and in order to counter this profitability problem, it is looking to enter a new market in one of the following countries: Switzerland, France, or Japan. Our client would like you to evaluate which of these countries it should enter.

Guidance for Interviewer:

This is a market entry case with given options for potential entry targets. The candidate should develop an initial framework that evaluates Luxury Auto as well as each of the countries, financially and qualitatively. The candidate will need to understand why profitability has been declining in Germany, evaluate the potential revenues, investment costs, and other costs for each country, and consider the compatibility of each country with the client's capabilities.

Information Provided Upon Request:

- A new tax on automakers in Germany (fictional) implemented two years ago has increased Luxury Auto's costs
- Focused on environmental sustainability, the regulatory environment in Germany has been unfriendly toward automakers
- The market size for luxury automobiles in Germany has shrunk from \$50B to \$40B over the last five years
- Specific cost and revenue information for Luxury Auto over the past two years is not relevant
- Luxury auto market size
    - Switzerland: \$20B
    - France: \$30B
    - Japan: \$50B
- Luxury auto market five-year growth predictions:
    - Switzerland: 5%
    - France: 10%
    - Japan: 10%
- Potential % market share
    - 15% in Switzerland

    - 10% in France
    - 5% in Japan
- Investment costs are irrelevant; candidate should only evaluate unit costs qualitatively (e.g. shipment costs to Japan vs. other countries in Europe, labor costs in each country)

<u>Revenue Calculations:</u>

Country	Market size x Growth Rate x Market Share			Revenue (in 5 years)
Switzerland	$20B	5%	15%	$150M
France	$30B	10%	10%	$300M
Japan	$50B	10%	5%	$250M

<u>Sample Recommendation:</u>

Luxury Auto should enter the French automobile market for two main reasons: first, the client's potential revenues in France are higher than either of the other two countries. Second, on the qualitative side, it is the best option due to its proximity to Germany (despite its revenue potential, Japan is far from Germany, meaning it will have high transportation costs and cultural barriers, as well as its having its own very competitive car brands) and its competitive growth rate. France is also a larger country than Switzerland and presents more room for growth.

<u>Risks and Mitigation:</u>

- The client should be cautious of environmental regulations that may be imposed in France, which would present the same problems it had been facing in Germany
- Potential market share should be verified
- Entering a new market could sacrifice the business in Germany even further

<u>Next Steps:</u>

Luxury Auto should evaluate whether to set up new manufacturing centers in France, or to use pre-existing ones in Germany and export. The client should also determine which vehicles to sell first in the new country, as well as what products would sell best long-term. Further market analysis would have to be done to obtain this information. Finally, Luxury Auto would need to decide what to do with its current business in Germany (whether to continue, reduce, or discontinue).

Cornell Consulting Club Example Interview Case 4 (Interviewer Led)

Case written by Kristin Zak

This case scenario is fictional and not based on any of CCC's client engagements

<u>Case Overview and Context:</u>

A notable social enterprise in Thailand is expanding into the organic rice business. Their current business consists of coffee production and distribution through their retail café chain and through wholesale packages in specialty stores. They plan to distribute 1 kilogram packaged rice products. As a CCC Business Analyst, you must decide where to focus the efforts of the business. Your goal is to grow the business and maximize profits in the next 5 years. Supply is stable.

Creativity Assessment

1. How would you figure out what geographical market to concentrate on? Develop a framework identifying metrics that you would take into consideration. Feel free to ask questions for clarification.

   Example Response
   - My hypothesis is that the best place to enter into the business would be in Asian markets due to the high rice consumption. I also know that the developed world places a strong emphasis on organic products, so I would like to look at the US and European countries
   - Key metrics: rice consumption, organic product consumption, market growth rate
   - Implementation: legal barriers, cost of export (distance from Thailand can be used as a proxy)

Quantitative and Graphical Assessment

1. Given the following information, which market looks best?

	Thailand	China	Hong Kong	US	EU
Organic Market Size (million USD)	13	2,000	27	14,000	2,000
Organic Market Growth Rate	7%	15%	4%	3%	7%
Rice Consumption (million tons)	11	146	.03	4	1

Rice Consumption per Capita (kg)	143	83	47	14	6

Example Response

- The EU and US markets have very low rice consumption, which confirm the hypothesis that they are not optimal markets
- The Chinese market has the highest growth rate in the organic market sector and the largest amount of total rice consumption
- Going back to the third area in the framework, I would want to confirm that export is possible given the regulatory barriers from the Chinese government
- Possible alternatives: entering through Hong Kong

2. Because of high trade regulations, it is impossible to enter into the Chinese market within the next two years. How would you modify the business plan?

   Example Response

   - The Thai market looks the most optimal and is stronger than Hong Kong
     - Highest rice consumption per capita
     - Second highest growth in organic products
     - No export costs
     - Smallest transportation distance

3. How do you calculate the market size for organic rice in Thailand? What information would you need? What will the size of the market be in five years?

   Information Given

   - 1000 kg = 1 ton
   - Average person eats 2 kg of food every day
   - Average person eats .001 kg of organic food every day
   - Average price of organic rice is 1.5 USD/kg

   Calculation

   - .001/2 kg = 1/2000 food eaten is organic
   - 1/2000*10,800,000*1000 = 5,400,000 kg organic rice eaten per year → times 1.5USD → 8,100,000 USD
   - In five years = 8,100,000*(1.07)^5 USD

Further Assessment

1. How would you develop a market entry strategy?

   Example Response

Potential Variables to Consider

- Costs
- Marketing/packaging/branding
- Customer segmentation
- Competitors
- Strengths/weaknesses
- Barriers to entry/exit
- Capital requirements
- Distribution channels
- Government policy

2. The CEO walks into the elevator; he wants an update on your progress.

   Note: there is a contextual clue here – the meeting with the CEO is brief. Do not take much time to summarize. Rather, start speaking and make it quick but structured.